

Class 2

GDP, Living Standards, and Welfare

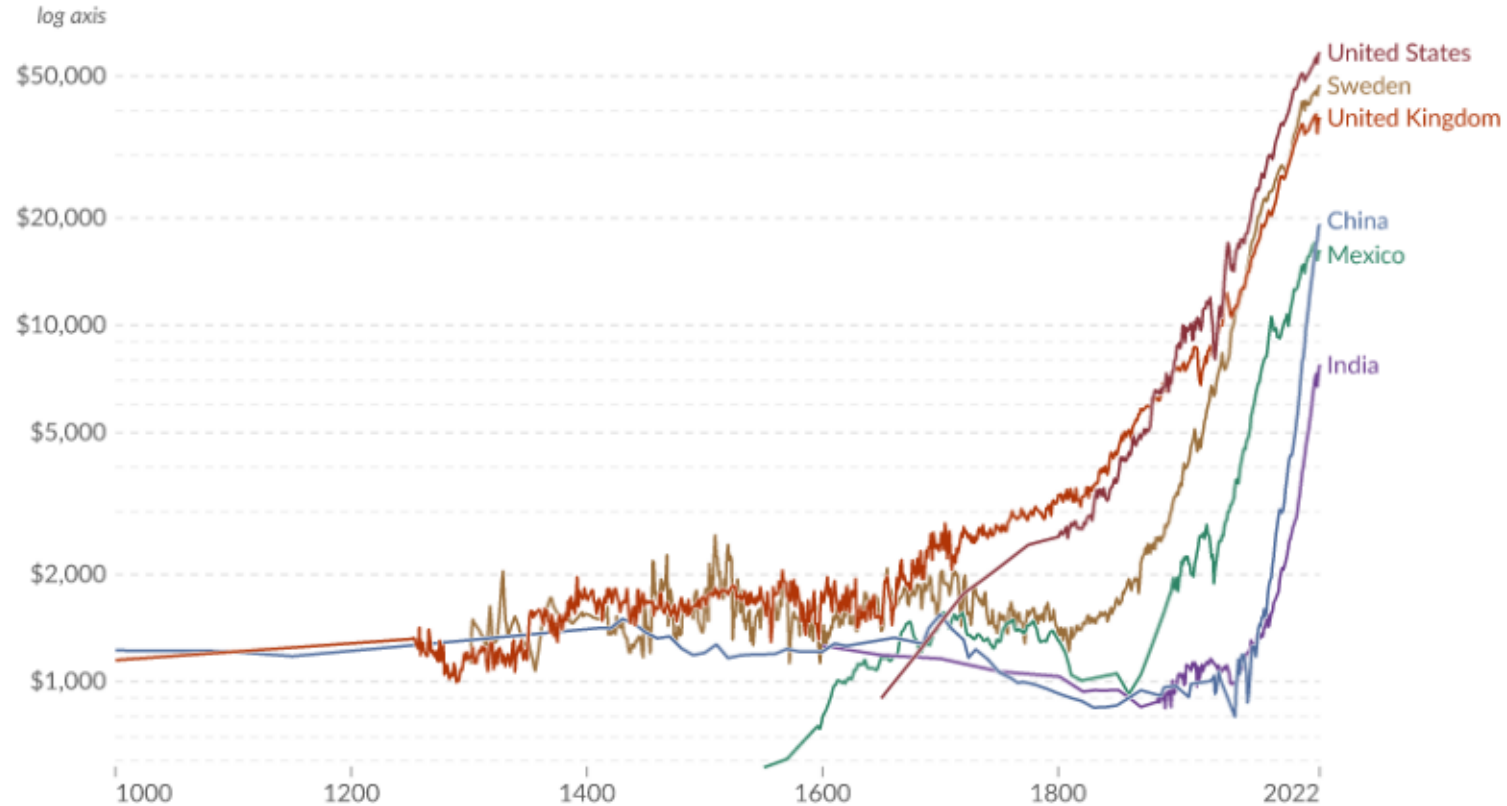
Part I — The Growth Miracle

GDP per capita since 1500

GDP per capita, 1000 to 2022



GDP per capita is a country's gross domestic product divided by its population. This data is adjusted for inflation and differences in living costs between countries.



Data source: Bolt and van Zanden – Maddison Project Database 2023

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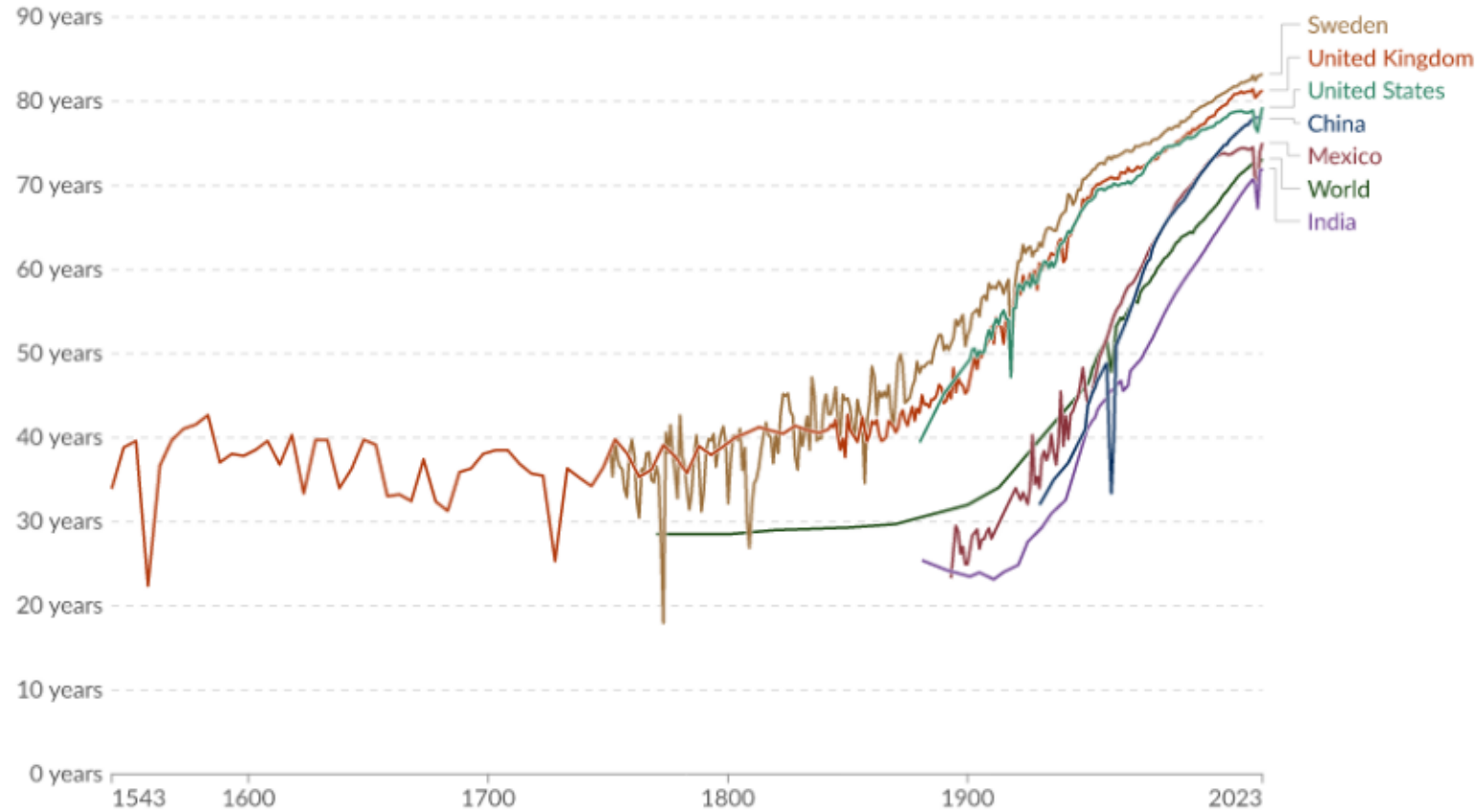
Note: This data is expressed in international-\$ at 2011 prices.

Life expectancy at birth, 1543-present

Life expectancy

Period life expectancy is the number of years the average person born in a certain year would live if they experienced the same chances of dying at each age as people did that year.

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Data source: Riley (2005); Zijdemann et al. (2015); HMD (2025); UN WPP (2024)

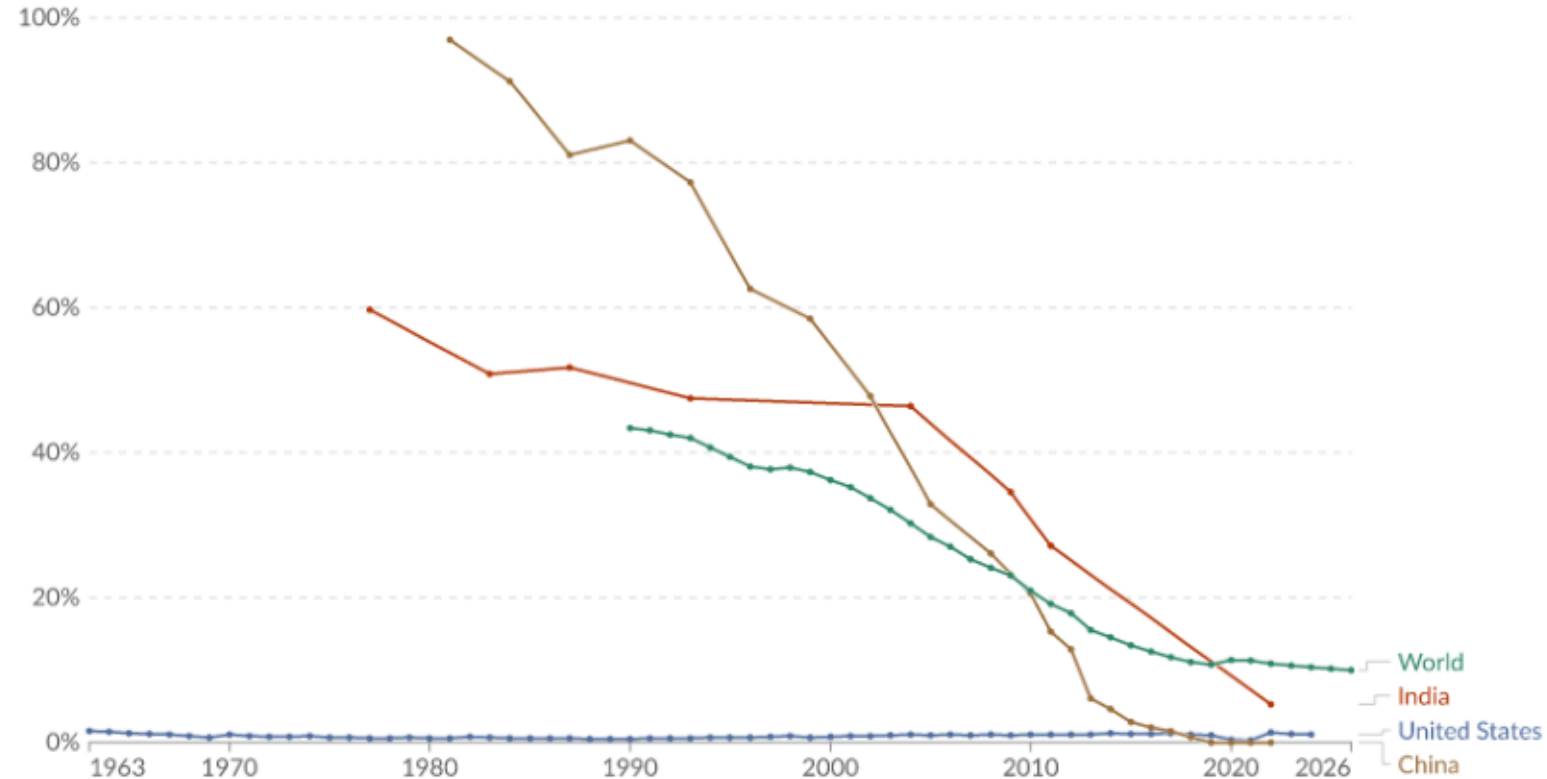
OurWorldinData.org/life-expectancy | CC BY

Extreme poverty has collapsed worldwide

Share of population living in extreme poverty, 1963 to 2026



Extreme poverty is defined as living below the International Poverty Line of \$3 per day. This data is adjusted for inflation and differences in living costs between countries.



Data source: World Bank Poverty and Inequality Platform (2026)

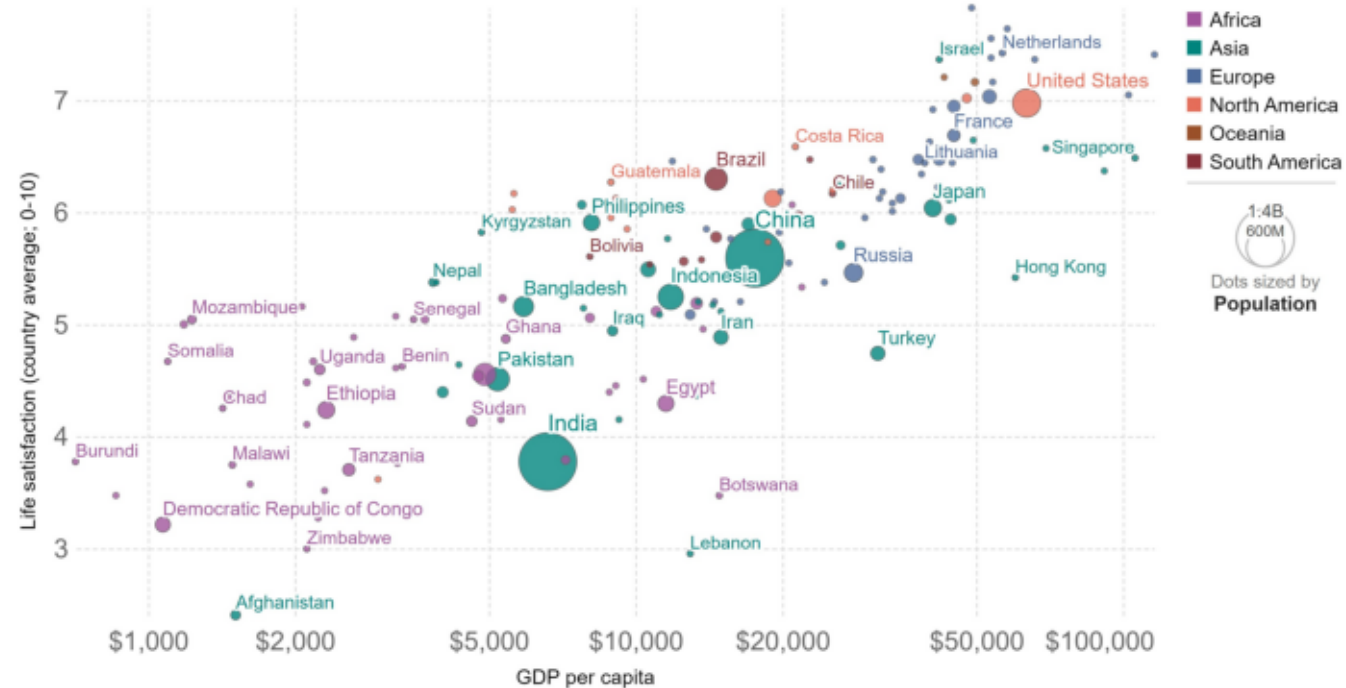
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Note: This data is expressed in international-\$ at 2021 prices. Depending on the country and year, it relates to income (measured after taxes and benefits) or to consumption, per capita.

Does income buy happiness? Stevenson and Wolfers

Self-reported life satisfaction vs. GDP per capita, 2022

Self-reported life satisfaction is measured on a scale ranging from 0-10, where 10 is the highest possible life satisfaction. GDP per capita is adjusted for inflation and differences in the cost of living between countries.



Source: World Happiness Report (2023), Data compiled from multiple sources by World Bank

Note: GDP per capita is expressed in international-\$¹ at 2017 prices.

OurWorldInData.org/happiness-and-life-satisfaction/ • CC BY

1. International dollars: International dollars are a hypothetical currency that is used to make meaningful comparisons of monetary indicators of living standards. Figures expressed in international dollars are adjusted for inflation within countries over time, and for differences in the cost of living between countries. The goal of such adjustments is to provide a unit whose purchasing power is held fixed over time and across countries, such that one international dollar can buy the same quantity and quality of goods and services no matter where or when it is spent. Read more in our article: What are Purchasing Power Parity adjustments and why do we need them?

What about above \$75{,}000? Killingsworth (2021)

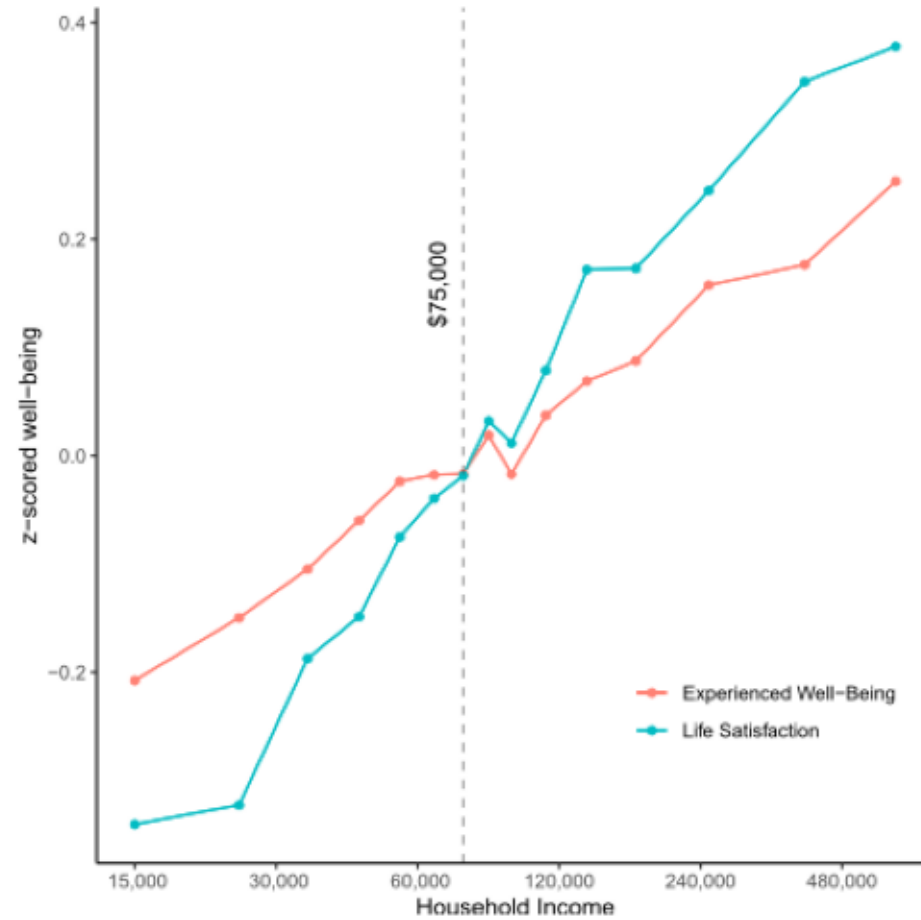


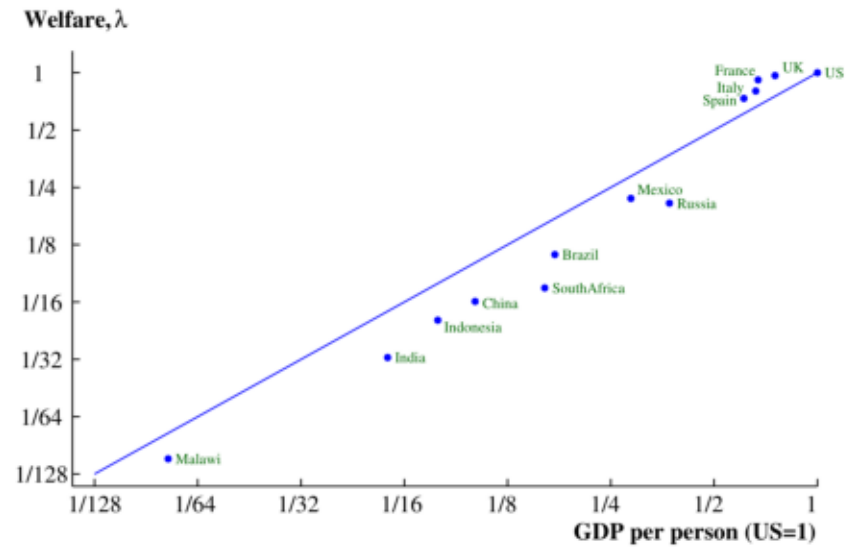
Fig. 1. Mean levels of experienced well-being (real-time feeling reports on a good-bad continuum) and evaluative well-being (overall life satisfaction) for each income band. Income axis is log transformed. Figure includes only data from people who completed both measures.

Welfare vs. GDP across countries (Jones-Klenow)

WELFARE ACROSS COUNTRIES AND TIME

19

Figure 5: Welfare and Income across Countries



(a) Welfare and income are highly correlated at 0.98...

The ratio of Welfare to Income

